

YUM! Brands, Inc.
Historical Financial Summary
First Quarter, 2023



YUM! Brands, Inc.
Consolidated Statements of Income
(in millions, except per share and unit amounts)

Revenues

Company sales	\$	474	\$	470	\$	2,106	\$	1,810	\$	1,546	\$	2,000
Franchise and property revenues		770		714		2,900		2,510		2,660		2,482
Franchise contributions for advertising and other services		401		363		1,578		1,332		1,391		1,206
Total revenues		1,645		1,547		6,584		5,652		5,597		5,688

Costs and Expenses, Net

Company restaurant expenses		403		402		1,725		1,506		1,235		1,634
General and administrative expenses		282		253		1,060		1,064		917		895
Franchise and property expenses		36		32		117		145		180		188
Franchise advertising and other services expense		395		361		1,576		1,314		1,368		1,208
Refranchising (gain) loss		(4)		(4)		(35)		(34)		(37)		(540)
Other (income) expense		10		(6)		2		154		4		7
Total costs and expenses, net		1,122		1,038		4,445		4,149		3,667		3,392

Operating Profit

		523		509		2,139		1,503		1,930		2,296
Investment (income) expense, net		24		(7)		(86)		(74)		67		(9)
Other pension (income) expense		(2)		-		7		14		4		14
Interest expense, net		130		118		544		543		486		452
Income before income taxes		371		398		1,674		1,020		1,373		1,839
Income tax provision		71		(1)		99		116		79		297
Net Income - YUM! Brands, Inc.	\$	300	\$	399	\$	1,575	\$	904	\$	1,294	\$	1,542

Basic EPS - Continuing Operations

Reported EPS	\$	1.07	\$	1.38	\$	5.30	\$	2.99	\$	4.23	\$	4.80
Weighted average shares used in computation		281		289		297		302		306		322

Diluted EPS - Continuing Operations

Reported EPS	\$	1.05	\$	1.36	\$	5.21	\$	2.94	\$	4.14	\$	4.69
Weighted average shares used in computation		285		294		302		307		313		329

System sales growth

Reported		6%		6%		16%		(4)%		7%		5%
Ex/FX		11%		8%		13%		(4)%		9%		5%
Ex/FX and 53 rd week		N/A		N/A		N/A		(3)%		8%		N/A

Company sales	\$	474	\$	470	\$	2,105	\$	1,810	\$	1,546	\$	2,000
Franchisee sales		14,541		13,676		56,082		48,549		51,038		47,237
System Sales	\$	15,015	\$	14,146	\$	58,187	\$	50,359	\$	52,584	\$	49,237

Worldwide System Same Store Sales Growth (Decline)		8%		3%		10%		-6%		3%		2%
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Net Unit Growth/(Decline)		322		628		3,071		183		2,046		3,040
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* See accompanying "Notes to Historical Financial Summary".

** Net unit growth in 2022 reflects our election to remove 1,112 KFC and 53 PH units in Russia from our unit count. Net unit growth in 2020 includes 27

YUM! Brands, Inc.
KFC Division Operating Results
(in millions, except unit amounts)

Revenues
Company sales
Franchise and property revenues
Franchise contributions for advertising and other services
Total revenues

Costs and Expenses, Net
Company restaurant expenses
General and administrative expenses
Franchise and property expenses
Franchise advertising and other services expense
Other (income) expense
Total costs and expenses, net

Operating Profit

System sales growth

Reported
Ex/FX
Ex/FX and 53rd week

Company sales
Franchisee sales
System Sales

System Same Store Sales Growth (Decline)

Net Unit Growth

2023	2022	2021	2020	2019	2018
Q1	Q1				
(unaudited)	(unaudited)	FY	FY	FY	FY
\$ 110	\$ 126	\$ 596	\$ 506	\$ 571	\$ 894
412	383	1,557	1,295	1,390	1,294
165	151	640	471	530	456
687	660	2,793	2,272	2,491	2,644
96	108	490	439	484	775
89	84	377	346	346	350
26	24	74	91	89	107
164	151	627	465	520	452
7	2	(5)	9	-	1
382	369	1,563	1,350	1,439	1,685
\$ 305	\$ 291	\$ 1,230	\$ 922	\$ 1,052	\$ 959

4%	6%	19%	(6)%	6%	7%
11%	9%	16%	(5)%	10%	6%
N/A	N/A	N/A	(5)%	9%	N/A

\$ 110	\$ 126	\$ 596	\$ 506	\$ 571	\$ 894
7,947	7,607	30,769	25,783	27,329	25,345
\$ 8,057	\$ 7,733	\$ 31,365	\$ 26,289	\$ 27,900	\$ 26,239

9%	3%	11%	-9%	4%	2%
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243	438	1,934	896	1,483	1,134
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* See accompanying "Notes to Historical Financial Summary".

YUM! Brands, Inc.
Taco Bell Division Operating Results
(in millions, except unit amounts)

Revenues
Company sales
Franchise and property revenues
Franchise contributions for advertising and other services
Total revenues

Costs and Expenses, Net
Company restaurant expenses
General and administrative expenses
Franchise and property expenses
Franchise advertising and other services expense
Other (income) expense
Total costs and expenses, net

Operating Profit

System sales growth

Reported
Ex/FX
Ex/FX and 53rd week

Company sales
Franchisee sales
System Sales

System Same Store Sales Growth (Decline)

Net Unit Growth

2023	2022	2021	2020	2019	2018
Q1 (unaudited)	Q1 (unaudited)	FY	FY	FY	FY
\$ 229	\$ 214	\$ 944	\$ 882	\$ 921	\$ 1,037
201	179	742	662	673	590
142	124	552	487	485	429
572	517	2,238	2,031	2,079	2,056
179	167	719	657	700	793
45	36	174	158	181	177
5	6	33	33	38	28
138	123	553	484	481	428
1	-	1	3	(4)	(3)
368	332	1,480	1,335	1,396	1,423
\$ 204	\$ 185	\$ 758	\$ 696	\$ 683	\$ 633

11%	8%	13%	0%	9%	6%
12%	8%	13%	0%	9%	6%
N/A	N/A	N/A	1%	8%	N/A

\$ 229	\$ 214	\$ 944	\$ 882	\$ 921	\$ 1,037
3,235	2,894	12,336	10,863	10,863	9,749
\$ 3,464	\$ 3,108	\$ 13,280	\$ 11,745	\$ 11,784	\$ 10,786

8%	5%	11%	-1%	5%	4%
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58	40	364	64	291	223
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* See accompanying "Notes to Historical Financial Summary".

YUM! Brands, Inc.
Pizza Hut Division Operating Results
(in millions, except unit amounts)

Revenues
Company sales
Franchise and property revenues
Franchise contributions for advertising and other services
Total revenues

Costs and Expenses, Net
Company restaurant expenses
General and administrative expenses
Franchise and property expenses
Franchise advertising and other services expense
Other (income) expense
Total costs and expenses, net

Operating Profit

System sales growth

Reported
Ex/FX
Ex/FX and 53rd week

Company sales
Franchisee sales
System Sales

System Same Store Sales Growth (Decline)

Net Unit Growth/(Decline)

2023	2022	2021	2020	2019	2018
Q1	Q1				
(unaudited)	(unaudited)	FY	FY	FY	FY
\$ 5	\$ 5	\$ 46	\$ 76	\$ 54	\$ 69
155	151	597	552	597	598
94	88	385	374	376	321
254	244	1,028	1,002	1,027	988
5	5	43	73	51	69
51	50	201	215	202	197
3	2	11	17	39	45
93	87	395	365	367	328
(2)	(2)	(9)	(3)	(1)	1
150	142	641	667	658	640
\$ 104	\$ 102	\$ 387	\$ 335	\$ 369	\$ 348

6%	2%	8%	(7)%	6%	1%
10%	3%	6%	(7)%	8%	1%
N/A	N/A	N/A	(6)%	7%	N/A

\$ 5	\$ 5	\$ 46	\$ 76	\$ 54	\$ 69
3,331	3,155	12,909	11,879	12,846	12,143
\$ 3,336	\$ 3,160	\$ 12,955	\$ 11,955	\$ 12,900	\$ 12,212

7%	0%	7%	-6%	0%	0%
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12	137	742	(1,064)	272	1,683
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* See accompanying "Notes to Historical Financial Summary".

** Net unit growth in 2022 reflects our election to remove 53 PH units in Russia from our unit count. Net unit growth in 2018 includes 1,28

System Same Store Sales Growth

	KFC		Taco Bell		Pizza Hut	
	QTD	YTD	QTD	YTD	QTD	YTD
	%	%	%	%	%	%
Q1 2023	9%		8%		7%	
Q4 2022	5%	4%	11%	8%	1%	0%
Q3 2022	7%		6%		1%	
Q2 2022	-1%		8%		-3%	
Q1 2022	3%		5%		0%	
Q4 2021	5%	11%	8%	11%	3%	7%
Q3 2021	6%		5%		4%	
Q2 2021	30%		21%		10%	
Q1 2021	8%		9%		12%	
Q4 2020	-2%	-9%	1%	-1%	-1%	-6%
Q3 2020	-4%		3%		-3%	
Q2 2020	-21%		-8%		-9%	
Q1 2020	-8%		1%		-11%	
Q4 2019	3%	4%	4%	5%	-2%	0%
Q3 2019	3%		4%		0%	
Q2 2019	6%		7%		2%	
Q1 2019	5%		4%		0%	
Q4 2018	3%	2%	6%	4%	0%	0%
Q3 2018	3%		5%		-1%	
Q2 2018	2%		2%		-1%	
Q1 2018	2%		1%		1%	

Global Unit Count by Brand & Market & Ownership Type
P3 2023

	KFC			Pizza Hut			Taco Bell			Habit			Total
	Company	Franchise & License	Total	Company	Franchise & License	Total	Company	Franchise & License	Total	Company	Franchise & License	Total	
Albania	-	8	8	-	2	2	-	-	-	-	-	-	10
Algeria	-	-	-	-	5	5	-	-	-	-	-	-	5
Andorra	-	-	-	-	1	1	-	-	-	-	-	-	1
Angola	-	9	9	-	1	1	-	-	-	-	-	-	10
Antigua	-	3	3	-	-	-	-	-	-	-	-	-	3
Argentina	-	24	24	-	-	-	-	-	-	-	-	-	24
Armenia	-	12	12	-	7	7	-	-	-	-	-	-	19
Aruba	-	5	5	-	3	3	-	3	3	-	-	-	11
Australia	53	693	746	-	258	258	-	37	37	-	-	-	1,041
Austria	-	12	12	-	-	-	-	-	-	-	-	-	12
Azerbaijan	-	21	21	-	5	5	-	-	-	-	-	-	26
Bahamas	-	13	13	-	4	4	-	-	-	-	-	-	17
Bahrain	-	24	24	-	22	22	-	-	-	-	-	-	46
Bangladesh	-	31	31	-	22	22	-	-	-	-	-	-	53
Barbados	-	11	11	-	-	-	-	-	-	-	-	-	11
Belarus	-	82	82	-	-	-	-	-	-	-	-	-	82
Belgium	-	15	15	-	112	112	-	-	-	-	-	-	127
Bermuda	-	1	1	-	-	-	-	-	-	-	-	-	1
Bolivia	-	3	3	-	7	7	-	-	-	-	-	-	10
Bonaire	-	1	1	-	-	-	-	-	-	-	-	-	1
Bosnia	-	2	2	-	-	-	-	-	-	-	-	-	2
Botswana	-	19	19	-	-	-	-	-	-	-	-	-	19
Brazil	-	158	158	-	260	260	-	31	31	-	-	-	449
Brunei	-	18	18	-	19	19	-	-	-	-	-	-	37
Bulgaria	-	31	31	-	-	-	-	-	-	-	-	-	31
Cambodia	-	13	13	-	7	7	-	-	-	-	7	7	27
Canada	-	617	617	-	569	569	-	54	54	-	-	-	1,240
Chile	-	97	97	-	172	172	-	21	21	-	-	-	290
China	-	9,239	9,239	-	2,983	2,983	-	103	103	-	5	5	12,330
Colombia	-	144	144	-	82	82	-	-	-	-	-	-	226
Costa Rica	-	50	50	-	59	59	-	48	48	-	-	-	157
Croatia	-	8	8	-	-	-	-	-	-	-	-	-	8
Curacao	-	6	6	-	4	4	-	-	-	-	-	-	10
Cyprus	-	25	25	-	32	32	-	6	6	-	-	-	63
Czech Republic	-	119	119	-	16	16	-	-	-	-	-	-	135
Denmark	-	12	12	-	-	-	-	-	-	-	-	-	12
Djibouti	-	-	-	-	1	1	-	-	-	-	-	-	1
Dominica	-	1	1	-	-	-	-	-	-	-	-	-	1
Dominican Republic	-	40	40	-	31	31	-	18	18	-	-	-	89
Ecuador	-	151	151	-	74	74	-	-	-	-	-	-	225
Egypt	-	175	175	-	99	99	-	-	-	-	-	-	274
El Salvador	-	12	12	-	68	68	-	9	9	-	-	-	89
Estonia	-	9	9	-	-	-	-	-	-	-	-	-	9
Ethiopia	-	-	-	-	6	6	-	-	-	-	-	-	6
Finland	-	5	5	-	21	21	-	16	16	-	-	-	42
France	-	322	322	-	141	141	-	-	-	-	-	-	463
French Guiana	-	1	1	-	-	-	-	-	-	-	-	-	1
Gabon	-	4	4	-	3	3	-	-	-	-	-	-	7
Georgia	-	12	12	-	-	-	-	-	-	-	-	-	12
Germany	-	197	197	-	82	82	-	-	-	-	-	-	279
Ghana	-	31	31	-	13	13	-	-	-	-	-	-	44
Gibraltar	-	-	-	-	1	1	-	-	-	-	-	-	1
Grand Cayman	-	3	3	-	2	2	-	-	-	-	-	-	5
Greece	-	14	14	-	-	-	-	-	-	-	-	-	14
Grenada	-	4	4	-	1	1	-	-	-	-	-	-	5
Guadeloupe	-	3	3	-	-	-	-	-	-	-	-	-	3
(a) Guam	-	8	8	-	5	5	-	7	7	-	-	-	20
Guatemala	-	11	11	-	56	56	-	75	75	-	-	-	142
Guyana	-	9	9	-	10	10	-	-	-	-	-	-	19
Honduras	-	23	23	-	60	60	-	-	-	-	-	-	83
Hong Kong	-	86	86	-	123	123	-	-	-	-	-	-	209
Hungary	-	88	88	-	26	26	-	-	-	-	-	-	114
Iceland	-	8	8	-	1	1	-	-	-	-	-	-	9
India	18	843	861	-	799	799	-	129	129	-	-	-	1,789
Indonesia	-	745	745	-	617	617	-	7	7	-	-	-	1,369
Iraq	-	8	8	-	-	-	-	-	-	-	-	-	8
Ireland	-	35	35	-	14	14	-	-	-	-	-	-	49
Israel	-	14	14	-	103	103	-	-	-	-	-	-	117
Italy	-	67	67	-	-	-	-	-	-	-	-	-	67
Ivory Coast	-	6	6	-	2	2	-	-	-	-	-	-	8
Jamaica	-	40	40	-	15	15	-	-	-	-	-	-	55
Japan	-	1,197	1,197	-	521	521	-	9	9	-	-	-	1,727
Jordan	-	27	27	-	20	20	-	-	-	-	-	-	47
Kazakhstan	-	73	73	-	3	3	-	-	-	-	-	-	76
Kyrgyzstan	-	14	14	-	-	-	-	-	-	-	-	-	14
Kenya	-	33	33	-	5	5	-	-	-	-	-	-	38
Korea	-	191	191	-	381	381	-	11	11	-	-	-	583
Kosovo	-	15	15	-	-	-	-	-	-	-	-	-	15
Kuwait	-	71	71	-	77	77	-	12	12	-	-	-	160
Latvia	-	5	5	-	-	-	-	-	-	-	-	-	5
Lebanon	-	18	18	-	5	5	-	-	-	-	-	-	23
Lesotho	-	10	10	-	-	-	-	-	-	-	-	-	10
Lithuania	-	7	7	-	-	-	-	-	-	-	-	-	7
Luxembourg	-	-	-	-	10	10	-	-	-	-	-	-	10
Macau	-	3	3	-	8	8	-	-	-	-	-	-	11
Macedonia	-	5	5	-	-	-	-	-	-	-	-	-	5
Madagascar	-	2	2	-	-	-	-	-	-	-	-	-	2
Malawi	-	3	3	-	-	-	-	-	-	-	-	-	3
Malaysia	-	772	772	-	456	456	-	22	22	-	-	-	1,250
Maldives	-	2	2	-	2	2	-	-	-	-	-	-	4
Malta	-	3	3	-	6	6	-	-	-	-	-	-	9
Martinique	-	1	1	-	-	-	-	-	-	-	-	-	1
Mauritius	-	27	27	-	4	4	-	-	-	-	-	-	31
Mexico	-	501	501	-	284	284	-	-	-	-	-	-	785
Military - Africa	-	-	-	-	1	1	-	-	-	-	-	-	1
(a) Military - Asia	-	-	-	-	-	-	-	20	20	-	-	-	20
Military - Europe	-	-	-	-	9	9	-	14	14	-	-	-	23

	KFC			Pizza Hut			Taco Bell			Habit			Total
	Company	Franchise & License	Total	Company	Franchise & License	Total	Company	Franchise & License	Total	Company	Franchise & License	Total	
Military - Iberia	-	1	1	-	-	-	-	-	-	-	-	-	1
Military - Latin America	-	-	-	-	-	-	-	1	1	-	-	-	1
Military - MENA	-	-	-	-	5	5	-	4	4	-	-	-	9
Military - United States	-	-	-	-	19	19	-	-	-	-	-	-	19
Moldova	-	2	2	-	-	-	-	-	-	-	-	-	2
Mongolia	-	16	16	-	20	20	-	-	-	-	-	-	36
Morocco	-	25	25	-	52	52	-	-	-	-	-	-	77
Mozambique	-	11	11	-	-	-	-	-	-	-	-	-	11
Myanmar	-	35	35	-	12	12	-	-	-	-	-	-	47
Namibia	-	23	23	-	-	-	-	-	-	-	-	-	23
Nepal	-	16	16	-	4	4	-	-	-	-	-	-	20
Netherlands	-	87	87	-	-	-	-	8	8	-	-	-	95
New Zealand	-	113	113	-	116	116	-	13	13	-	-	-	242
Nicaragua	-	-	-	-	17	17	-	-	-	-	-	-	17
Nigeria	-	37	37	-	9	9	-	-	-	-	-	-	46
Oman	-	47	47	-	47	47	-	-	-	-	-	-	94
Pakistan	-	114	114	-	-	-	-	-	-	-	-	-	114
Panama	-	47	47	-	-	-	-	13	13	-	-	-	60
Paraguay	-	6	6	-	27	27	-	-	-	-	-	-	33
Peru	-	148	148	-	110	110	-	6	6	-	-	-	264
Philippines	-	351	351	-	140	140	-	10	10	-	-	-	501
Poland	-	340	340	-	161	161	-	-	-	-	-	-	501
Portugal	-	56	56	-	266	266	-	16	16	-	-	-	338
Puerto Rico	-	82	82	-	58	58	-	37	37	-	-	-	177
Qatar	-	62	62	-	46	46	-	-	-	-	-	-	108
Reunion Island	-	2	2	-	-	-	-	-	-	-	-	-	2
Romania	-	98	98	-	43	43	-	15	15	-	-	-	156
Rwanda	-	1	1	-	-	-	-	-	-	-	-	-	1
(a) Saipan	-	1	1	-	1	1	-	-	-	-	-	-	2
Saudi Arabia	-	230	230	-	65	65	-	-	-	-	-	-	295
Senegal	-	5	5	-	-	-	-	-	-	-	-	-	5
Serbia	-	15	15	-	-	-	-	-	-	-	-	-	15
Singapore	-	79	79	-	75	75	-	-	-	-	-	-	154
Slovakia	-	8	8	-	3	3	-	-	-	-	-	-	11
Slovenia	-	1	1	-	-	-	-	-	-	-	-	-	1
Somaliland	-	-	-	-	1	1	-	-	-	-	-	-	1
South Africa	49	992	1,041	-	51	51	-	-	-	-	-	-	1,092
Spain	-	249	249	-	727	727	-	133	133	-	-	-	1,109
Sri Lanka	-	61	61	-	105	105	-	9	9	-	-	-	175
StKitts	-	2	2	-	-	-	-	-	-	-	-	-	2
StLucia	-	5	5	-	-	-	-	-	-	-	-	-	5
StMaarten	-	2	2	-	-	-	-	-	-	-	-	-	2
StVincent	-	2	2	-	-	-	-	-	-	-	-	-	2
Sudan	-	7	7	-	4	4	-	-	-	-	-	-	11
Suriname	-	7	7	-	2	2	-	-	-	-	-	-	9
Swaziland	-	11	11	-	-	-	-	-	-	-	-	-	11
Sweden	-	15	15	-	38	38	-	-	-	-	-	-	53
Switzerland	-	12	12	-	-	-	-	-	-	-	-	-	12
Taiwan	-	184	184	-	290	290	-	-	-	-	-	-	474
Tajikistan	-	4	4	-	-	-	-	-	-	-	-	-	4
Tanzania	-	8	8	-	9	9	-	-	-	-	-	-	17
Thailand	-	1,024	1,024	-	190	190	-	14	14	-	-	-	1,228
Trinidad	-	60	60	-	12	12	-	-	-	-	-	-	72
Tunisia	-	10	10	-	-	-	-	-	-	-	-	-	10
Turkey	-	271	271	-	146	146	-	-	-	-	-	-	417
Uganda	-	13	13	-	1	1	-	-	-	-	-	-	14
UK	52	938	990	-	530	530	-	129	129	-	-	-	1,649
Ukraine	-	52	52	-	-	-	-	-	-	-	-	-	52
United Arab Emirates	-	196	196	-	155	155	-	-	-	-	-	-	351
United States	46	3,867	3,913	21	6,498	6,519	470	6,746	7,216	293	53	346	17,994
USVI	-	6	6	-	2	2	-	-	-	-	-	-	8
Uzbekistan	-	16	16	-	-	-	-	-	-	-	-	-	16
Venezuela	-	23	23	-	9	9	-	-	-	-	-	-	32
Vietnam	-	174	174	-	126	126	-	-	-	-	-	-	300
West Bank	-	17	17	-	10	10	-	-	-	-	-	-	27
Zambia	-	7	7	-	-	-	-	-	-	-	-	-	7
Zimbabwe	-	10	10	-	5	5	-	-	-	-	-	-	15
TOTAL	218	27,785	28,003	21	19,025	19,046	470	7,806	8,276	293	65	358	55,683
	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Global Market Count	5	149	149	1	106	106	1	32	32	1	3	3	157

(a) - For PH, units physically located in Guam and Saipan are managed by the US.
(b) - Countries entered YTD (bolded represents addition to country count for global Yum): **Somaliland (PH)**
- Countries exited YTD (bolded represents reduction to country count for global Yum): Pakistan (PH)

Notes to Historical Financial Summary

Note 1: Consult our filings with the Securities and Exchange Commission for additional details about our financial results.

Note 2: Definitions of terms reflected in this summary are available at investors.yum.com.

Note 3: Unless otherwise noted, results include the impact of a 53rd week in our 2019 fiscal year.

Note 4: Investment (income) expense, net, primarily reflects the change in the market price of Devyani and Grubhub common stock.

Note 5: 2020, 2021 and 2022 results were impacted by temporarily closed restaurants, including restaurants closed due to government restrictions, as of a result of COVID-19. The sales of restaurants we deem temporarily closed remain in our base for purposes of determining same-store sales growth and the restaurants remain in our unit count.

Note 6: In 2021, when calculating same-store sales growth we also included in our prior year base the sales of stores in the quarter ended March 31, 2020, both before and after the acquisition date that were added as a result of our acquisition of The Habit Restaurants, Inc. on March 18, 2020, and that were open for one year or more. In 2020, when calculating same-store sales growth we also included in our prior year base the sales of stores that were added as a result of our acquisition of The Habit Restaurants, Inc. on March 18, 2020, and that were open for one year or more. In 2019, when calculating same-store sales growth we also included in our prior year base the sales of stores that were added as a result of the Telepizza strategic alliance in December 2018 and that were open for one year or more. Operating profit results of Habit Burger Grill for the period subsequent to our acquisition are reflected in the consolidated figures.

Note 7: In the first quarter of 2022, as a result of the Russian invasion of Ukraine, we suspended all investment and restaurant development in Russia. We also suspended all operations of our 70 company-owned KFC restaurants in Russia and began finalizing an agreement to suspend all Pizza Hut operations in Russia, in partnership with our master franchisee. Further, we pledged to redirect any future net profits attributable to Russia subsequent to the date of invasion to humanitarian efforts. During the second quarter of 2022, we completed the transfer of ownership of the Pizza Hut Russia business to a local operator who has initiated the process of re-branding locations to a non-YUM concept. In April 2023, we announced that we completed our exit from the Russia market by selling the KFC business in Russia to Smart Service Ltd., including all Russian KFC restaurants, operating system and master franchise rights and the trademark for the Rostik's brand. Under the sale and purchase agreement, the buyer has agreed to lead the process to rebrand KFC restaurants in Russia to Rostik's and retain the Company's employees in Russia.

Our GAAP operating results continue to reflect revenues from and expenses to support the Russian operations for KFC for the quarter ended March 31, 2023, as well as for both Pizza Hut and KFC for the quarter ended March 31, 2022, within their historical financial statement line items and operating segments. However, given our decision to exit Russia and our pledge to direct any future net profits attributable to Russia subsequent to the date of invasion to humanitarian efforts, we have reclassified such net operating profits and losses from the Division segment results in which they were earned to Unallocated Other income (expense). Additionally, we have incurred certain expenses related to the transfer of the businesses and other one-time costs related to our exit from Russia which we have recorded within Corporate and unallocated G&A and Unallocated Franchise and property expenses. Also recorded in Unallocated Other income (expense) were foreign exchange impacts attributable to fluctuations in the value of the Russian ruble. As a result, net Operating losses of \$3 million and Operating profit of \$7 million are reflected within Unallocated Other income (expense) during the quarters ended March 31, 2023 and 2022, respectively.

As of the beginning of the second quarter of 2022, we elected to remove all Russia units from our unit count and their associated sales from our total system sales. We removed 1,112 units and 53 units in Russia from our global KFC and Pizza Hut units counts, respectively. Russia units do not impact our same-store sales results for the quarter.